Cybersecurity

AI is supercharging a global cyber fraud crisis. It could also solve it

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In collaboration withThe Economic Times -Global collaboration is needed to mitigate cyber-enabled fraud across the digital ecosystem.
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***Collaboration is needed on a global scale, with governments, industry leaders and civil society coming together.**

Ask most people to name AI's defining moment and they will likely point to ChatGPT's public launch in November 2022. Yet, a different development involving the tech could have a bigger impact on people's everyday lives--the use of AI to carry out cyberattacks.

AI is now widely seen as the biggest threat to online security in the year ahead. Reports of hackers bypassing guardrails to launch cyberattacks on major companies cannot be ignored, prompting governments to brace for a surge in the scale and severity of AI-enabled cyberattacks. In a country like India – which in 2023 accounted for around 49% of global real-time payment transactions worldwide, and processed around 181 billion digital

transactions with a total value exceeding ₹233 trillion ($2.56 trillion) in 2024 – stakes could hardly be higher.

Cyber-enabled fraud is already widespread: 73% of respondents to the Forum's latest *Global Cybersecurity Outlook* say they, or someone in their network, were personally affected in 2025. Many CEOs now rank it as the top cybersecurity threat – overtaking ransomware – with 77% of respondents reporting an increase in incidents over the past year.

This trend is particularly pronounced in South Asia, where 85% of organisations believe risks of cyber-enabled fraud and phishing attacks have increased. In India alone, more than ₹52,976 cr ($5.81 billion) has been lost to cyber fraud and cheating cases over the past six years, including almost ₹19,813 cr ($2.18 billion) in 2025.

(VIDEO HERE – you can access it from the original article)

AI models are capable of creating synthetic voices that are being used in phishing attacks via phone. One British engineering company was scammed out of $25 million when this tactic was deployed on a video call. If bosses of some of the world's most sophisticated and resilient enterprises are falling victim to these crimes, how worried should smaller businesses be about issues such as email fraud, fake invoices and identity theft? What about the risks for everyday citizens, particularly vulnerable groups such as the elderly?

Fraud has become the connective tissue of cyber risk, affecting households, corporations, and national economies simultaneously. One scam email can lead to data breaches that cause a breakdown in a company's operations, setting off a chain reaction that can ripple through supply chains and across borders, denting not just bottom lines, but trust in digital and international systems.

AI's potential to automate cybercrime may only be matched by its capacity to prevent it. ML algorithms can detect fraud, for example, in banking, but they address the act, not the intent, especially as AI has lowered the cost of deception while increasing its credibility.

Recent headline-grabbing cases illustrate the stakes. A deepfake video showed an Irish presidential candidate falsely announcing her withdrawal from the election campaign, while Indonesian citizens were scammed by an Instagram video appearing to show the country's president directing people to a WhatsApp number to receive aid.

Yet, fraud doesn’t only strike through high-profile incidents. Smaller-scale scams occur constantly, and their prevalence is rising across all economies. World Economic Forum research shows that 79% people in North America have been impacted, or know someone who has.

AI is enabling rapid, tailored content creation, allowing criminals to scale and personalise scams with unprecedented efficiency. This should serve as both a warning and a wake-up call, highlighting the need for equally advanced AI-enabled detection, authentication, and monitoring tools.

Today’s cyber defences are not keeping pace with the accelerating speed and sophistication of cyberattacks. But that does not have to remain the case. The *Global Cybersecurity Outlook* identifies three main obstacles to better cyber defences: fragmented regulation across borders, insufficient intelligence sharing, and a lack of cybersecurity capacity among small and medium-sized enterprises, with 46% reporting critical skills shortages.

Initiatives such as the upcoming UN and Intrpol’s Global Fraud Summit in Vienna in March sign a shift towards more coordinated international action to prevent cybercrime. Similarly, the AI Impact Summit in New Delhi is being held to envision a future in which AI advances humanity, fosters inclusive growth, and safeguards our shared planet.

Protecting individuals also requires action at the human, infra and tech levels – from digital safety education and stronger identity verification and domain oversight to AI-enabled screening that flags fraud before harm occurs. Isolated action will not be enough. As fraud becomes systemic, the response must be systemic too.

This will require coordinated collaboration on a global scale, bringing governments, industry leaders and civil society together to act across borders rather than just within them. Only in this way can they strengthen their collective capacity to prevent, protect against, and mitigate cyber-enabled fraud across the digital ecosystem.